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HANDOUTS

ACCOUNTING MODULE 1

**WRITTEN BY
MARIA VITTORIA
CESAREO**

**EDITED BY
ANDREA PAONE**



TEACHING DIVISION

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It is a useful tool for studying the subject, but does not guarantee preparation as exhaustive and complete as the material recommended by the University.





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CHAPTER 1: FINANCIAL STATEMENTS AND BUSINESS DECISIONS

Sources of Financial Resources:

- **Stockholders** => Potential Return:
 - Dividends
 - Higher future stock prices
- **Creditors** => Potential return:
 - Interest

Both groups estimate future performance, in part, based on information in the company's financial statements.

Accounting system:

Financial Accounting Reports: Periodic financial statements and related disclosures => provided to external decision makers (to evaluate the company)

Managerial Accounting Reports: Detailed plans and continuous performance reports => provided to internal decision makers (to run the company)

Business activities include:

- **Financing Activities:** borrowing or paying back money to lenders and receiving additional funds from stockholders or paying them dividends.
- **Investing Activities:** buying or selling items such as plant and equipment.
- **Operating Activities:** the day-to-day operations of the business, such as purchasing materials from suppliers, delivering products and services to customers, collecting cash from customers, and paying suppliers.

We will focus much of our discussion on the perspectives of investors, creditors, and preparers of financial statements. However, you might not be aware that , managers within the firm also make direct use of financial statements. For example, marketing managers and credit managers use customers' financial statements to decide whether to extend credit to their customers. Supply chain managers analyze suppliers' financial statements to see whether the suppliers have the resources to meet demand and invest in future development. Both the employees' unions and company human resource managers use financial statements as a basis for contract negotiations over pay rates. Financial statement figures even serve as a basis for calculating

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employee bonuses. Regardless of the functional area of management in which you are employed, you will use financial statement data.

Companies usually publish four basic financial statements. Another way to describe the statement's purposes is as follows:

- 1. **BALANCE SHEET** – reports the financial position (amount of assets, liabilities, and stockholders' equity) of an accounting entity at a point in time => reports the economic resources owned and the sources of financing for those resources
- 2. **INCOME STATEMENT** – reports the revenues less the expenses during the accounting period => ability to sell goods for more than the cost to produce and sell
- 3. **STATEMENT OF STOCKHOLDERS' EQUITY** – reports the changes in each of the company's stockholders' equity accounts, including the change in the retained earnings balance caused by net income and dividends, during the reporting period=> additional contributions from or payments to investors and the amount of income the company reinvested for future growth
- 4. **STATEMENT OF CASH FLOWS** – reports inflows and outflows of cash during the accounting period in the categories of operating, investing, and financing the ability to generate cash and how it was used

The **notes** are an integral part of these financial statements.

PLEASE KEEP IN MIND THAT THE FUNDAMENTAL FINANCIAL STATEMENTS ARE (I) BALANCE SHEET AND (II) INCOME STATEMENT.

The preparation of statement of stockholders' equity and statement of cash flows is subsequent to the abovementioned statements.

The four basic statements can be prepared at **any point in time** (such as the end of the year, quarter, or month) and can apply to **any time span** (such as one year, one quarter, or one month).

Most companies prepare financial statements for external users (investors and creditors) at the end of each quarter (known as quarterly reports) and at the end of the year (known as annual reports).

The financial statement heading includes:

- **Name of the entity** (Company name)
- **Title of the statement** (e.g., Balance Sheet)
- **Specific date of the statement** (e.g., At December 31, 2020)
- **Unit of measure** (in millions of dollars)

BALANCE SHEET

The purpose of the balance sheet is to report the financial position (assets, liabilities and stockholders' equity) of an entity at a particular point in time. Here is a sample list of balance sheet accounts grouped into categories.

- **Assets** are economic resources owned by the company. The exact list of assets depends on the individual company, but this is a representative list. All assets are expected to provide future benefits to the company.

Assets: Cash, Short-Term Investments, Accounts Receivable, Notes Receivable, Inventories, Supplies, Prepaid Expenses, Long-Term Investments, Equipment, Buildings, Land, Intangibles

- **Liabilities** are the company's debts or obligations.

Liabilities: Accounts Payable, Accrued Expenses, Notes Payable, Taxes Payable, Unearned Revenue, Bonds Payable

- **Stockholders' equity** generally consists of two parts. First, common stock indicates the amount of financing provided by owners of the business. Next, retained earnings is the amount of earnings that have been reinvested in the business rather than being distributed as dividends to shareholders.

Stockholders' equity: Common Stock + Retained Earnings

Accounting equation:

ASSETS = LIABILITIES + STOCKHOLDERS' EQUITY

(what the company owns = what the company owes to creditors + owners)

The basic accounting equation shows what we mean when we refer to a company's financial position: the economic resources that the company owns and the sources of financing for those resources.

Assets are economic resources owned by the company that have some future economic benefit. Liabilities are the amount of financing provided by the creditors (debts, obligations). Stockholders' equity indicates the amount of financing provided by owners of the business and reinvested earnings of the company since inception that were not distributed as dividends to the shareholders.

A **corporation** is a business that is incorporated under the laws of a particular state. The owners are called stockholders or shareholders.

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IN OTHER WORDS, AT ANY POINT IN TIME, FOR ANY COMPANY WORLDWIDE, THE FOLLOWING RELATION MUST BE ALWAYS TRUE: THE AMOUNT OF ASSETS MUST BE ALWAYS EQUAL TO THE AMOUNT OF (LIABILITIES + STOCKHOLDERS' EQUITY), BECAUSE:

- "ASSETS" ARE THE ANSWER TO THE QUESTION: "WHICH RESOURCES OWNS THE COMPANY?"
- "LIABILITIES & ST. EQUITY" ARE THE ANSWER TO THE QUESTION: "HOW DID THE COMPANY FINANCE THE ACQUISITION OF THE ASSETS?"

Interpretation:

Assessment of assets is important to its creditors and its stockholders because assets provide a basis for judging whether the company has sufficient resources available to operate. Assets are also important because they could be sold for cash in the event that the company goes out of business.

Debts are important because creditors and stockholders are concerned about whether the company has sufficient sources of cash to pay its debts. Debts are also relevant to creditors' decision to lend money to the company because existing creditors share its claim against assets. If a business does not pay its creditors, the creditors may force the sale of assets sufficient to meet their claims.

Stockholders' equity is important because creditors' claims legally come before those of owners. If the company goes out of business and its assets are sold, the proceeds of that sale must be used to pay back creditors before the stockholders receive any money. Thus, creditors consider stockholders' equity a protective "cushion."

Format:

- Include the **monetary unit sign** (\$) beside the first dollar amount in a group of items and by group total
- Assets are listed on the balance sheet by **ease of conversion to cash**.
- Liabilities are listed by the **maturity** (due date).
- Place a **single underline** below the last item in a group before a total or subtotal, and a **double underline** below the group totals.

INCOME STATEMENT

The income statement (statement of income, statement of earnings, statement of operations, statement of comprehensive income) reports the accountant's primary measure of performance of a business, revenues less expenses during the accounting period. While the term "profit" is

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used widely for this measure of performance, accountants prefer to use the technical terms net income or net earnings.

Companies earn revenues from the sale of goods or services to customers. Revenues normally are amounts expected to be received for goods or services that have been delivered to a customer, whether or not the customer has paid for the goods or services.

When revenues exceed expenses for the period, the company has generated **net income**. If expenses are greater than revenues in the period, the company has incurred a **net loss**.

Revenues: Cash and promises received from delivery of goods and services. (Sales, service, rental, interest revenues)

Expenses: resources used to earn period's revenues (Cost of Goods Sold, Wages, Rent, Depreciation, Insurance, Repair, Income Tax Expense)

REVENUES- EXPENSES= NET INCOME

Interpretation:

Investors and creditors closely monitor a firm's net income because it indicates the firm's ability to sell goods and services for more than they cost to produce and deliver. Investors buy stock when they believe that future earnings will improve and lead to dividends and the ability to sell their stock for more than they paid. Lenders also rely on future earnings to provide the resources to repay loans. The details of the statement also are important. These factors and others help investors and creditors estimate the company's future earnings.

STATEMENT OF STOCKHOLDERS' EQUITY

The statement reports the changes in each of the company's stockholders' equity accounts during that period.

Issuing common stock increases common stock during the year.

The retained earnings column reports the way that net income and the distribution of dividends affected the company's financial position during the accounting period. Net income earned during the year increases the balance of retained earnings, showing the relationship of the income statement to the balance sheet. Declaring dividends to the stockholders decreases retained earnings.

Common stock: beginning common stock + stock issuance = ending common stock

Retained earnings: beginning retained earnings + net income – dividends = ending retained earnings

Interpretation:

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Reinvestment of earnings, or retained earnings, is an important source of financing for companies. Creditors closely monitor a firm's statement of stockholders' equity because the firm's policy on dividend payments to the stockholders affects its ability to repay its debts. Every dollar the company pays to stockholders as a dividend is not available for use in paying back its debt. Investors examine retained earnings to determine whether the company is reinvesting a sufficient portion of earnings to support future growth.

Relationship between statements:

- 1. Net income from the income statement results in an increase in ending retained earnings on the statement of stockholders' equity.
- 2. Ending retained earnings from the statement of stockholders' equity is one of the two components of stockholders' equity on the balance sheet.

Thus, we can think of the income statement as explaining, through the statement of stockholders' equity, how the operations of the company improved or harmed the financial position of the company during the year.

STATEMENT OF CASH FLOWS

The cash flow statement equation describes the causes of the change in cash reported on the balance sheet from the end of the last period to the end of the current period:.

Reported revenues do not always equal cash collected from customers because some sales may be on credit. Also, expenses reported on the income statement may not be equal to the cash paid out during the period because expenses may be incurred in one period and paid for in another. Because the income statement does not provide information concerning cash flows, accountants prepare the statement of cash flows to report inflows and outflows of cash.

Like the income statement, the cash flow statement covers a specified period of time (the accounting period). Note that each of the three cash flow sources can be positive or negative.

- **Cash flows from operating activities** are cash flows that are directly related to earning income, such as cash collected from customers less cash paid for operating expenses, such as cash paid to suppliers and employees.
- **Cash flows from investing activities** include cash flows related to the acquisition or sale of the company's plant and equipment and investments.
- **Cash flows from financing activities** are cash flows directly related to the financing of the enterprise itself. They involve the receipt or payment of money to investors and creditors (except for suppliers).

Interpretation:

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Bankers often consider the Operating Activities section to be most important because it indicates the company's ability to generate cash from sales to meet its current cash needs. Any amount left over can be used to pay back the bank debt or expand the company. Stockholders will invest in a company only if they believe that it will eventually generate more cash from operations than it uses so that cash will become available to pay dividends and expand.

NOTES

“The notes are an integral part of these financial statements.”

This statement warns users that failure to read the notes (or footnotes) to the financial statements will result in an incomplete picture of the company's financial health.

Understanding the note content is critical to understanding the company.

All financial statements should be accompanied by notes, also called footnotes, that provide the reader with supplemental information about the financial condition and results of operations of the company, without which the financial statements cannot be fully understood.

Summary of the Four Basic Financial Statements

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Financial Statement	Purpose	Structure	Examples of Content
Balance Sheet (Statement of Financial Position)	Reports the financial position (economic resources and sources of financing) of an accounting entity <i>at a point in time</i> .	Balance Sheet Assets = Liabilities + Stockholders' Equity	Cash, accounts receivable, plant and equipment, long-term debt, common stock
Income Statement (Statement of Income, Statement of Earnings, Statement of Operations)	Reports the accountant's primary measure of economic performance <i>during the accounting period</i> .	Income Statement Revenues +Increases -Expenses <u>Net Income</u>	Sales revenue, cost of goods sold, selling expense, interest expense
Statement of Stockholders' Equity	Reports changes in the company's common stock and retained earnings <i>during the accounting period</i> .	Statement of Stockholders' Equity Beginning balance +Increases -Decreases <u>Ending balances</u>	Beginning and ending stockholders' equity balances, stock issuances, net income, dividends
Statement of Cash Flows (Cash Flow Statement)	Reports inflows (receipts) and outflows (payments) of cash <i>during the accounting period</i> in the categories operating, investing, and financing.	Statement of Cash Flows +/- CFO +/- CFI +/- CFF <u>Change in Cash</u>	Cash collected from customers, cash paid to suppliers, cash paid to purchase equipment, cash borrowed from banks

GENERALLY ACCEPTED ACCOUNTING PRINCIPLE

Decision makers need to understand the measurement rules applied in computing the numbers on the financial statements. These rules are called generally accepted accounting principles, or GAAP.

- In the US, Congress created the **Securities and Exchange Commission (SEC)** and gave it broad powers to determine the measurement rules for financial statements that companies issuing stock to the public (publicly traded companies) must provide to stockholders.

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- The Securities and Exchange Commission has worked with organizations of professional accountants to establish groups that are given the primary responsibility to work out the detailed rules that become **generally accepted accounting principles (GAAP)**. Currently, the **Financial Accounting Standards Board (FASB)** has the responsibility to formulate generally accepted accounting principles. The official pronouncements of the FASB are called the **FASB Accounting Standards Codification**.
- The FASB relies on a conceptual framework to provide a structure for developing specific accounting standards. It states that the primary objective of financial reporting to external users is to provide financial information about the reporting entity that is **useful** to existing and potential investors, lenders, and other creditors in making decisions about providing resources to the company. Most users are interested in information to help them assess the amounts, timing, and uncertainty of a business's future cash inflows and outflows. To be useful, the information must be **relevant** to the decisions of these external users and be a **faithful** representation of the economic substance of the company's activities. Information is relevant if it helps evaluate the company's past behavior and predict its future activities. Faithful representation requires that the information be complete and free from bias and other forms of error.
- **Comparability, verifiability, timeliness, and understandability** are qualitative characteristics that enhance the usefulness of information that is relevant and faithfully represented. For example, our discussions of financial analysis will emphasize the importance of comparing information for the same company over time, as well as against those of competitors. Such comparisons are valid only if the information is prepared on a consistent and comparable basis. These characteristics of useful information guide the FASB in deciding what financial information should be reported.
- Generally accepted accounting principles (GAAP) are of great interest to the companies that must prepare financial statements, their auditors, and the readers of the statements. Companies and their managers and owners are most directly affected by the information presented in financial statements. Companies incur the cost of preparing the statements and bear the major economic consequences of their publication, which include, among others:
 1. Effects on the selling price of a company's stock
 2. Effects on the amount of bonuses received by management and employees
 3. Loss of competitive information to other companies

As a consequence of these and other concerns, changes in GAAP are actively debated, political lobbying often takes place, and final rules are a compromise among the wishes of interested parties. Most managers do not need to learn all the details included in these standards. Our approach is to focus on those details that have the greatest impact on the numbers presented in financial statements and are appropriate for an introductory course.

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International Perspective

- Since 2002, there has been substantial movement toward the adoption of **International Financial Reporting Standards (IFRS)** issued by the **International Accounting Standards Board (IASB)**. The use of IFRS is increasing, with many countries or jurisdictions either currently requiring IFRS or committed to requiring IFRS.

In the United States, the Securities and Exchange Commission now allows foreign companies whose stock is traded in the U.S. to use IFRS.

ETHICAL CONDUCT

- Ethics are standards of conduct for judging right from wrong, honest from dishonest, and fair from unfair. Many situations are not clear-cut and require that individuals weigh one moral principle (e.g., honesty) against another (e.g., loyalty to a friend).
- When money is involved, people can easily fool themselves into believing that bad acts are justified. To avoid falling prey to this tendency, when faced with an ethical dilemma, it is often recommended that you follow a three-step process:
 1. Identify the benefits of a decision (often to the manager or employee involved) and who will be harmed (other employees, owners, creditors, the environment).
 2. Identify alternative courses of action.
 3. Choose the one you would like your family and friends to see reported on your local news. That is usually the ethical choice.

RESPONSIBILITY AND THE NEED FOR CONTROLS

- Primary responsibility for the information in the financial statements lies with management, represented by the highest officer of the company and the highest financial officer. Companies take three important steps to assure investors that the company's records are accurate:
 - (1) they maintain a **system of controls** over both the records and the assets of the company,
 - (2) they hire **external independent auditors** to audit the fairness of the financial statements,
 - (3) they form a **committee of the board of directors** to oversee the integrity of these other two safeguards.

The term **internal controls** refers to the process by which a company safeguards its assets and provides reasonable assurance regarding the reliability of the company's financial reporting, the effectiveness and efficiency of its operations, and its compliance with applicable laws and regulations. Internal control procedures should extend to all assets: cash, receivables, investments, plant and equipment, and so on. Controls that ensure the accuracy of the financial records are designed to **prevent inadvertent errors** and outright fraud. External independent

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auditors audit the financial reports to ensure that they represent what they claim and conform with generally accepted accounting principles. Because strong internal controls increase the reliability of the financial statements, internal control procedures are also reviewed by the outside independent auditor.

SUPPLEMENT A: TYPES OF BUSINESS ENTITIES

The three main types of business entities are sole proprietorship, partnership, and corporation.

- A **sole proprietorship** is an unincorporated business owned by one person; it usually is small in size and is common in the service, retailing, and farming industries. Often the owner is the manager. Legally, the business and the owner are not separate entities. Accounting views the business as a separate entity, however, that must be accounted for separately from its owner.
- A **partnership** is an unincorporated business owned by two or more persons known as partners. The agreements between the owners are specified in a partnership contract. This contract deals with matters such as division of income each reporting period and distribution of resources of the business on termination of its operations. A partnership is not legally separate from its owners. Legally, each partner in a general partnership is responsible for the debts of the business (each general partner has unlimited liability). The partnership, however, is a separate business entity to be accounted for separately from its several owners.
- A **corporation** is a business incorporated under the laws of a particular state. The owners are called stockholders or shareholders. Ownership is represented by shares of capital stock that usually can be bought and sold freely. When the organizers file an approved application for incorporation, the state issues a charter. This charter gives the corporation the right to operate as a separate legal entity, separate and apart from its owners. The stockholders enjoy limited liability. Stockholders are liable for the corporation's debts only to the extent of their investments. The corporate charter specifies the types and amounts of stock that can be issued. Most states require a minimum of two or three stockholders and a minimum amount of resources to be contributed at the time of organization. The stockholders elect a governing board of directors, which in turn employs managers and exercises general supervision of the corporation. Accounting also views the corporation as a separate business entity that must be accounted for separately from its owners. Limited liability companies (LLCs) and limited liability partnerships (LLPs) have many characteristics similar to corporations.

In terms of economic importance, the corporation is the dominant form of business organization in the United States. This dominance is caused by the many **advantages of the corporate form**: (1) limited liability for the stockholders, (2) continuity of life, (3) ease in transferring ownership (stock), and (4) opportunities to raise large amounts of money by selling shares to a large number



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of people. The primary disadvantage of a corporation is that its income may be subject to double taxation (income is taxed when it is earned and again when it is distributed to stockholders as dividends).

SUPPLEMENT B: EMPLOYMENT IN THE ACCOUNTING PROFESSION TODAY

An accountant may be licensed as a certified public accountant, or **CPA**. This designation is granted only on completion of requirements specified by the state that issues the license. Although CPA requirements vary among states, they include a college degree with a specified number of accounting courses and a total of 150 credit hours, good character, professional experience, and successful completion of a professional examination. The CPA examination is prepared by the American Institute of Certified Public Accountants.

Accountants (including CPAs) commonly are engaged in professional practice or are employed by businesses, government entities, nonprofit organizations, and so on. Accountants employed in these activities may take and pass a professional examination to become a certified management accountant, or **CMA** (the CMA examination is administered by the Institute of Management Accountants), or a certified internal auditor, or **CIA** (the CIA examination is administered by the Institute of Internal Auditors). Specialists in areas such as fraud examination may also apply for certification in those specialty areas (e.g., **CFE**).

CHAPTER 2: INVESTING AND FINANCING DECISIONS AND THE ACCOUNTING SYSTEM

Franchising is common in chain restaurants. Franchising involves selling the right to use or sell a product or service to another. This is an easy way for someone to start his or her own business because the franchisor often provides site location, design, marketing, and management training support in exchange for initial franchise fees and ongoing royalty fees usually based on weekly sales. Unlike most restaurant chains, however, Chipotle does not franchise the business. All restaurants are company-owned.

What Information is Included in the Balance Sheet?

ASSUMPTIONS

- **Separate entity assumption:** states that each business's activities must be accounted for separately from the personal activities of its owners, all other persons, and other entities.